

I'm reminded of a story, perhaps apocryphal, I recently read about an investment banker addressing his colleagues after the collapse in the mortgage-backed bond market. "I have bad news and good news. The bad news is that we lost a ton of money. The good news is that none of it was ours." This story provides yet one more reminder that, for the most part, what is good for the financial industry is bad for you.⁴

Fortunes from Failure

Consider the compensation of three well-publicized financial sector CEOs who failed their clients and their shareholders alike during the recent turbulence.

- Charles Prince, CEO of Citigroup, took office in October 2003, with Citigroup stock selling at \$47 per share. While the bank did well for a few more years, it created a highly risky investment portfolio that fell to pieces within five years, with write-offs (so far) of some \$21 billion. Citigroup's earnings fell from \$4.25 in 2006 to \$0.72 per share for 2007, and the stock, at this writing, is at about \$20 per share. Mr. Prince was paid \$138 million for his efforts when times were good, but incurred no penalty for the disaster that followed. (Prince resigned on November 4, 2007.)
- The experience of Stanley O'Neal, CEO of Merrill Lynch, was similar. The risks assumed by the firm in its risk-laden investment portfolio exploded late in 2007, with \$19 billion of write-downs (with likely more to come). Merrill reported net losses for the year of \$10.73 per share, and its stock price tumbled from \$95 per share to less than \$20 currently. Yet Mr. O'Neal's compensation of \$161 million during 2002-2007 was not affected, and the retirement plan package that he received on his resignation in October 2007 was paid in full by the board (*another* \$160 million, for a total of \$321 million).
- Perhaps most egregiously, James E. Cayne, CEO of Bear Stearns, was paid some \$232 million during 1993-2006 as the